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STATE OF NEW JERSEY TECHNOLOGY CIRCULAR Software Asset Reporting Policy	**POLICY NO:** 18-01-NJOIT	
	SUPERSEDES: N/A	**EFFECTIVE DATE:** 05-31-2018
	VERSION: 3.0	**LAST REVIEWED:** 7/31/2026

1 PURPOSE

In accordance with New Jersey State Circular No. 26-12-OMB, this policy establishes guidelines and procedures for effectively reporting, managing, and tracking software assets on the Treasury's Land and Building Asset Management (LBAM) system. This policy is to ensure that The New Jersey Office of Information Technology (NJOIT) reports all software purchases, developed, or under development that exceed the cost of $100,000.

2 AUTHORITY

N.J.S.A. C.52:18A-224 through N.J.S.A. C.52:18A-234; and
New Jersey State Circular No. 26-12-OMB

3 SCOPE

This policy applies to all NJOIT employees, contractors, and third-party users who have access to NJOIT's software assets.

4 POLICY

NJOIT is responsible for accurately capturing and reporting software procurements and developments and for certifying accuracy to the agency's Chief Financial Officer (CFO). Annually, at the end of each fiscal year, NJOIT shall certify the accuracy of all software records.

NJOIT shall record software assets into an internal asset inventory system and into Treasury's Land and Building Asset Management (LBAM) system when the dollar

threshold is greater than or equal to $100,000. NJOIT shall also record all software purchased, developed, or under development that exceeds $100,000, acquired since FY06 and still in use.

5 PROCEDURES

The Fiscal Unit shall record all software purchases valued at $250 or more into the Asset Inventory Management System (AIMS) and LBAM that meet the dollar threshold of $100,000. The following are guidelines to be applied when determining the threshold:

- Software assets include software licensing, purchased software, enterprise agreements (regardless of per-unit cost), internally developed software or agency modified applications, and multi-year agreements;
- The total value of the software should include that actual software and any ancillary charges directly attributable to the asset acquisition, such as professional fees;
- Only costs associated with the application development phase should be capitalized; and
- Costs associated with the preliminary phase or post implementation are not reported through this process.

Internally developed software (defined as any software that incurs costs over $100,000, even if that cost expands over multiple fiscal years) also includes software purchased with "minimal effort to install" (defined by OMB as any installation process that requires configuration or installation on a server. Regarding internally developed software, NJOIT's Senior Leadership Team (SLT) must:

- Determine which software meets the reporting criteria;
- Submit an "Employee Expenditure Reporting" worksheet by June 30th of each fiscal year to Financial Management; and
- Validate that NJOIT staff click that Governmental Accounting Standards Board (GASB) indicator in JAMS for each software asset or initiative that is expected to meet the threshold.

Subscription-based software licenses shall be reported in a manner similar to how leases are currently reported under GASB Statement No. 87. See Circular No. 23-05 for reporting guidelines concerning Subscription Based Information Technology Arrangements (SBITAs). Perpetual software licenses purchased in Fiscal Year 2026 should be reported in LBAM in the same manner as in previous fiscal years.

Fiscal shall upload all necessary procurement and payment information into the system, including purchase orders, payment vouchers, line of credit award letters, and Asset Verification Form (AVF) information.

NJOIT SLT must verify the accuracy of all software recorded and certify the financial information during the fiscal year end asset certification process in AIMS (or any replacement inventory software).

A letter certifying all software assets must be signed and submitted to the CFO by NJOIT's CTO, or their designee, by July 31st of each fiscal year.

OMB Guidelines for Reporting Software Assets and GASB Statement No. 96 shall be referred to for the complete list of software reporting categories and guidelines.

6 COMPLIANCE AND ENFORCEMENT

NJOIT reserves the right to take appropriate disciplinary or legal action regarding noncompliance with this policy. Employees who do not comply with this policy risk disciplinary action, up to and including termination of employment and/or civil or criminal legal action, if applicable. Non-compliance will be referred to the CTO for appropriate action.

7 RELATED DOCUMENTS

OMB Guidelines for Reporting Software Assets
Governmental Accounting Standards Board (GASB) Statement No. 96
Circular 26-12-OMB Fiscal Year End Reporting 2026 – Inventory, Captial Assets, Software Reporting, Impairments, Leases, LBAM Training, Capital Assets Held For Sale, And Certification Requirements
18-01-F1 NJOIT Employee Expenditure Reporting worksheet

8 ADMINISTRATION

This Policy is administered and monitored by the CTO at 300 Riverview Plaza, Trenton, NJ 08625. The CTO reserves the right to change or amend the Policy at any time.

Signature on File
Kevin Dehmer, Chief Technology Officer

7/31/2026

9 DOCUMENT HISTORY

Version	Published Date	Chief Technology Officer	Sections Modified	Description of Modifications
1.0				Original Published Date
2.0	12/16/2024	C. Rein	Sections 3 and 5	Annual Review; Updated Format; Updated Sections 3 and 5 to ensure consistency with Circular No. 24-20-OMB
3.0	7/31/2026	K. Dehmer	All	Updated Format; Updated policy to reflect Circular No. 26-12-OMB. Added subscription-based software licenses reporting procedures.